

Buying vs. Renting-and-Investing in Mid-2026: Three Dials, Not One Answer

◆ The verdict

"Should you buy or rent in the US right now?" is a category error. The answer turns on three independent dials — your **holding period**, your metro's **price-to-rent ratio**, and whether you're the person who actually **invests the difference** — and at the extremes it's emphatic. Horizon under **~5 years**: renting-and-investing wins almost everywhere (**~85% confidence**). High price-to-rent coastal metro — San Jose (**PTR ~45**), San Francisco (**~36**), Seattle, Austin, Portland: renting wins even over a decade-plus (**~80%**). Low price-to-rent metro — Cleveland and Pittsburgh (**~11–12**), Detroit (**~8**): buying beats renting *from month one* and breaks even in **under two years (~75%)**.

The case people actually fight about — a median household buying a moderate home to hold **10+ years** — is the one where "buying is worse" is **not established**. The popular rent-and-invest math almost always compounds *pre-tax* equity returns while ignoring the owner's tax-free gains, forced-savings behavior, and fixed-payment inflation hedge — and most people never invest the gap anyway (US savings rate **~3–5%**). Mid-2026's specifics — **6.4–6.7%** rates forecast flat through 2027 (no refinance rescue), flat-to-negative real prices now falling month-over-month, and an **8–11% round-trip** the NAR settlement did *not* shrink — widen the renting edge at the margin but don't settle the long-hold median case.

Rent-and-invest is the better bet for short horizons, expensive metros, and disciplined investors; buying is competitive-to-favorable for long-hold buyers in moderate markets. The 43:1 "homeowners are richer" stat is too selection-contaminated to settle it either way.

◆ Three dials decide it — and "the US" isn't one of them

The whole debate collapses into three variables. Point all three the same way and the answer is certain — which is why the confident verdicts above are the *tails*, and the loud national argument lives in the muddy middle.

Holding period realized tenure < you think < 5 yr 10+ yr

Price-to-rent ratio San Jose 45 ↔ Detroit 8 high · >25 low · <15

Invest the gap? US savings rate 3–5% yes, every month no — spend it

Dial 1 — horizon. Zillow's June 4, 2026 metro study — transaction-cost-inclusive, and it *already* assumes the renter invests the difference — puts the **national breakeven at ~6 years**, down from an **8.4-year peak in October 2023**. Below **3–4 years renting wins almost everywhere**: too little time to amortize the round-trip friction. The trap is that intended tenure badly overpredicts realized tenure — first-time buyers *intend* ~15 years but realize ~**4–8**, and the average owner has a **~1-in-4 chance of moving within 5 years**. A buyer at 6.5% is also *free to move* in a way the sub-3% "locked-in" cohort isn't, so don't assume today's record 11–12-year median seller tenure for someone buying now.

Dial 2 — price-to-rent. The sign-flipping variable (its own section below), and it sets how big the "difference" you'd invest even *is*.

Dial 3 — do you actually invest, and at what return. This is where the plan usually dies, on two legs that both must hold. The behavioral leg is brutal: disciplined monthly reinvestment of an ~\$800 gap collides with a nation saving ~**3% (May 2026)**. The return leg is genuinely contested:

10-yr S&P forecast	Nominal	≈ Real	Note
Goldman / Kostin (Oct 2024)	3%	~1%	72% chance stocks trail bonds; 7th-percentile outcome
Goldman / Snider (Nov 2025)	~7%	~5%	Explicit walk-back of the above
Vanguard VCMM (2026)	4–5%	~2–3%	Mega-cap tech valuations
21-manager consensus	~6%	~3–4%	—
Historical, since 1926	~10.2%	~6.5–7%	The "7% real" calculator default = the <i>optimistic</i> baseline

Goldman's ten-year equity forecast moved four percentage points — from 3% to ~7% — in thirteen months, with the market doing nothing dramatic in between. That single fact is the strongest argument against betting a house-sized decision on any point estimate of "invest the difference."

The framing you'll see everywhere — "7% real vs. Goldman's 3%" — is apples-to-oranges: the 7% is *real*, Goldman's 3% *nominal*. In real terms the honest spread is **~7% (bull) vs. ~1% (bear)** — and the invest side is taxed while the owner's side largely isn't.

◆ The mid-2026 facts, and which way each cuts

Every number here is current — and the column that matters is the last one: not every "housing is expensive" fact helps the renting case, and two widely-cited ones are misleading.

Factor	Mid-2026 reading	Cuts toward	Caveat
30-yr fixed rate	6.43% (Freddie Mac, wk of Jul 2) – 6.72% (Zillow, Jul 9)	Renting (high carry)	—
Rate outlook	Flat 6.2–6.5% through 2027 (Fannie, MBA, Wells Fargo)	Renting — <i>but no refi rescue</i>	Corrects "rates rising / hike"; a hike is a tail case
Home prices, YoY	+0.7% (Case-Shiller, May 2026); peaked Feb 2026, falling MoM since	Renting	14th straight month of deceleration
2026 price forecast	0% (JPM) · 2% (MS) · 3.2% (Fannie) · 4% (NAR) — all nominal	Renting (flat-to-neg <i>real</i>)	—
Monthly own-vs-rent gap	Starter home: own \$2,589 vs rent \$1,669 = +\$920 (~55%) ; renting cheaper in all 50 metros	Renting	Counts principal (= savings) as "cost"; income gap now smallest in 3 yrs (Redfin)
Round-trip friction	8–11% ; NAR settlement did not lower it — buyer commission ticked up to 2.42% (Redfin, Q3 2025)	Renting (esp. short holds)	Contradicts the "commissions fell to 5.4%" headline
Home insurance	\$2,948 avg (2025, +12%); now 9% of the typical payment (record)	Renting	+8%/yr projected 2026–27
Property tax	\$4,427 avg, +27% since 2019	Renting	The "predictable fixed payment" isn't fully fixed
Rent growth	+0.1–0.8% YoY (flat), record 2024 supply	<i>Buying</i> (soft rents)	Temporary — starts down ~40%, reacceleration expected 2027+
Equity 10-yr forecast	3% → 7% (Goldman); ~6% consensus; +10% in H1 2026	Contested — the whole ballgame	—

Drop two "housing is cracking" stats. "**Foreclosures +26% YoY, 6-year high**" is *normalization*, not distress — ATTOM itself says volumes remain **below pre-pandemic norms** (a backlog clearing), and borrower distress is at historic lows. "**Rates drifting toward a hike**" is simply wrong; the base case is *flat*. Correcting both is honest — and neither helps buyers, because flat rates mean the "marry the house, date the rate" refinance escape hatch **isn't coming**.

◆ Where the sign flips: the price-to-rent map

There is no "US" answer because price-to-rent — home price ÷ annual rent — spans a **5–6× range**, Detroit ~8 to San Jose ~45, and that flips the sign. High PTR means a steep premium to own, so the capital left compounding in equities is large → rent wins. Low PTR means owning barely costs more than renting → little "difference" to invest, and you capture leverage and amortization → buy wins.

Price-to-rent flips the sign

BUY NEUTRAL RENT + INVEST

PTR 15 PTR 25

Detroit · 8 Cleveland · 11 Chicago · 15 San Francisco · 36 San Jose · 45

The same mid-2026 decision that screams *rent-and-invest* in San Jose — owning costs **~\$5,030/mo more**, and a buyer must earn **175% more income** than a renter — says *buy* in Cleveland, where the mortgage runs **~\$96/mo below rent**. Buying beats renting on full monthly cost in just **~2 of the 50 largest metros — Cleveland and Pittsburgh** — but in ~22 metros on the buy-favorable tail, and across all 838 cities studied **95 favor buying, overwhelmingly Southern and Rust Belt**.

Metro	Price-to-rent	Breakeven (Zillow, Jun 2026)	Cheaper monthly than rent?	Read
Detroit	~8	< 2 yr	Yes	Buy
Cleveland	~11	< 3 yr	Yes (1 of only 2 metros)	Buy
Pittsburgh	~12	< 3 yr	Yes (2 of only 2)	Buy
Memphis	~13	< 5 yr	Yes	Buy
Columbus	~14	4 yr	~ even	Lean buy
Chicago	~15	~5–6 yr	No	Buy per Johnson (prices +6.5%)
U.S. median	—	~6 yr	No (all 50)	Depends on hold
Seattle	high	16 yr	No	Rent
Austin	high	18 yr	No	Rent
Portland	high	22 yr	No	Rent
San Francisco	~36	Never within 30 yr	No (+\$2k/mo)	Rent + invest
San Jose	~45	Never within 30 yr	No (+\$5k/mo)	Rent + invest

Years for buying to break even

5-yr line: below → rent wins

Detroit <2 yr Columbus 4 yr U.S. median 6 yr Seattle 16 yr Portland 22 yr SF · San Jose never within 30 yr

Renting is cheaper monthly in all 50 of the largest US metros for a starter home — yet buying breaks even in under two years in Cleveland and Pittsburgh. Both are true at once, which is the whole problem with a national answer.

One live twist *strengthens* the low-PTR buy case now. The stock objection — Rust Belt PTRs are low *because* those homes barely appreciate — inverted in 2026: **Pittsburgh +5.8%, Cleveland +5.9%** (top-5 nationally) while the Sun Belt falls — **Cape Coral -9.6%, Memphis/Tucson/Palm Bay -3.8% to -6.1%**. Ken Johnson, co-author of the FAU Buy-vs-Rent Index built for exactly this question, lands in the same place: **rent-and-reinvest** in stretched high-appreciation metros, **buy-and-build-equity** in Chicago, New York, and Cleveland "where prices are rising more moderately, leaving room for appreciation." The index designed to answer rent-vs-buy refuses to answer it nationally — which is the finding.

◆ **Steelman: the case that buying is simply the worse move**

The strongest version of the position opposite mine — that buying stays competitive for the median long-hold buyer — is not weak.

The friction is enormous and it didn't fall. The round-trip is **8–11%**, and the great hope — that the August 2024 NAR settlement would slash commissions — evaporated: Redfin shows buyer-agent commissions **ticked back up to 2.42% by Q3 2025**, as buyers spent their new leverage forcing *sellers* to keep paying rather than negotiating their own fee down. You still lose ~a tenth of the home's value round-trip.

No rescue is coming. Rates are forecast **flat at 6.2–6.5% through 2027** — no refinance escape. Prices **peaked in February 2026 and are falling month-over-month**, 2026 consensus **0–4% nominal**, i.e. **flat-to-negative real**. You're buying a **~5×-leveraged** position in an asset whose long-run real appreciation is **~0.5–1.5%/yr**, carried at 6.5%, while insurance (**+12%**) and property tax (**+27% since 2019**) climb underneath it — frequently a *negative net-carry* bet, paying to hold an asset losing real value.

And the disciplined investor genuinely wins. Beracha & Johnson (1978–2009, 23 metros) is explicit: **if the renter reinvests the savings without fail, renting wins on average.** In high-PTR metros the gap is a chasm — a decade compounding an \$800–\$5,000 monthly difference plus the un-tied-up down payment, at even a consensus **~6% nominal**, dwarfs the equity a flat-real home builds. Ben Felix's "5% rule" (unrecoverable owning cost $\approx$ 5%/yr of value) actually *understates* owning today, since at 6.5% the cost-of-capital leg alone tops the 3% the rule assumes. On this reading, "buying is competitive" survives only by leaning on **forced-savings paternalism** and a **selection-biased** wealth stat. **~40% of me thinks this is the more correct read for the marginal person actually asking in mid-2026** — someone in a pricey coastal metro, unsure they'll stay a decade, facing the worst friction-and-carry combination in a generation.

◆ The four things "rent and invest" quietly leaves out

That steelman has to assume away four real advantages — and for the median household you can't.

Here the channel's running trap resurfaces. In **"Who's Actually Paying for Your Cash Back,"** the error was treating a headline reward as free money while missing who quietly funds it. Rent-vs-buy runs the same trap both ways: *"renting is throwing money away"* ignores that owning throws its own money away (interest, tax, insurance, 8–11% friction) — **but so does the mirror claim** that "buying costs \$920/mo more," which counts **mortgage principal — your own savings — as a cost**. Strip that out and the true *consumption*-cost gap is far below 55%.

Omission	What it's worth to the owner	The caveat that limits it
Tax asymmetry	Home gains tax-free to \$250k/\$500k ; imputed rent untaxed. The renter's equity returns are taxed (cap gains + dividends)	Exclusion unindexed since 1997 — 13M+ owners now exceed it and owe on the excess
Forced savings (causal, not just selection)	Turner–Luea (PSID): each year owned adds ~\$13,700 net wealth <i>after</i> controlling for income, education, wealth, and prior savings habit	Neutralized <i>only</i> by a genuinely disciplined investor — empirically a small minority
Fixed-payment inflation hedge	P&I frozen 30 yrs while rent compounds; a paid-off retiree spends ~\$520/mo on core housing vs \$1,500+/mo for an older renter	Taxes and insurance are not frozen and are rising fast
Terminal value / long horizon	Owner ends with a paid-off asset; the renter pays forever	Realized only if you truly hold 20–30 yr — realized tenure is often shorter

The load-bearing correction is the **43:1 wealth gap** — homeowner median net worth **~\$430k** vs renter **~\$10k**. It's contaminated by selection, leverage, and behavior; it does **not** prove buying beats a disciplined rent-and-invest plan.

But "it's all selection bias" is *itself* overstated. Peer-reviewed work that controls for income, education, initial wealth **and prior savings propensity** still finds each year of ownership causally adds real net worth. For the median household — the one saving ~3% and letting cash sit in checking — **forced savings is a genuine advantage, not a statistical artifact**.

Two the steelman skips. **Builder buydowns** on new construction — permanent rates into the **high-4s%**, 2-1 buydowns from **3.49%**, new builds often **\$300–500/mo below comparable resale** — flip the monthly math in a real segment the "cheaper to rent everywhere" claim (a *resale* claim) misses. And **"rents are soft" is the wrong horizon**: today's flat rents are a supply artifact of record 2024 deliveries; starts are down ~40% and reacceleration is expected by 2027 — precisely the hold over which buying is supposed to win.

◆ What would change this answer

Triggers that would move the verdict, in rough order of impact:

- **A sustained mortgage-rate drop below ~5%.** The break-even rate where buying wins in high-PTR metros sits near **4–5%**. Fall through it — a recession-driven Fed cut, not the current base case — and coastal metros migrate from "rent" toward "neutral." *Single biggest swing factor.*
- **Your realized horizon lengthening past the local breakeven.** A firm 15-year hold in a moderate metro flips the median case to "buy"; a forced move in year 3 flips *any* market to "rent." Discount your intended tenure for the ~25–33% forced-move base rate before deciding.
- **Equity returns confirming the bear or bull case.** Sustained returns near Goldman's original **~3% nominal** (a 2000s-style "lost decade" ran **–0.9%/yr**) gut the invest-the-difference side; continued **~10%** runs (H1 2026: +10%) fortify it. Given a 4-point forecast swing in 13 months, don't make this load-bearing.
- **Rent reacceleration arriving early.** If the 2024 supply wave clears and rents jump **>4%/yr** before late 2027, the fixed-payment hedge strengthens the buy case sooner.
- **Congress indexing the capital-gains exclusion** (before Treasury now). Re-indexing restores a fading owner tax advantage — pro-buy at the high-appreciation end.
- **A price capitulation.** Prices are already falling MoM; a **10%+ national drop** resets entry PTRs and pulls breakevens in — improving the buy case at the new, lower price, painful as that is for today's owners.

What would *not* move it: foreclosure headlines (normalization, not distress) or any single bank's ten-year forecast (too volatile to trust). If your evidence is a scary chart in a real-estate blog, it's noise dressed as signal.

◆ Sources, annotated

1. [Zillow Research — Rent or buy: breakeven by metro \(Jun 4, 2026\)](#) — Best current source: transaction-cost-inclusive, assumes the renter invests the difference, gives the ~6-yr national and per-metro breakevens. *Trust: high (primary, freshest).*
2. [Zillow — breakeven methodology](#) — The 3% buy + 8% sell friction model behind the numbers. *Trust: high (transparent method).*
3. [Construction Coverage — Cities Where It's Cheaper to Buy Than Rent, 2026](#) — Best current full-cost monthly buy-vs-rent by metro; the "only Cleveland & Pittsburgh" finding. *Trust: high (clear methodology).*
4. [SoFi — Price-to-Rent Ratio in 50+ Cities](#) — Per-metro PTR spread (San Jose ~45 → Detroit ~8). *Trust: medium (aggregator, but figures corroborated).*
5. [FAU Beracha-Hardin-Johnson Buy vs. Rent Index](#) — The academic index built for exactly this question (buy-and-build vs. rent-and-reinvest, per metro). *Trust: high, but the live mid-2026 numeric score couldn't be retrieved — qualitative read only.*

6. [NMP — FAU index: where to buy vs. rent \(Ken Johnson commentary\)](#) — Johnson's current metro-split call (buy Chicago/NY/Cleveland). *Trust: medium (secondary reporting of the index).*
7. [Redfin — Rent vs. Buy 2026](#) — Renting cheaper monthly across metros, *and* the buy-rent income gap now the smallest in 3 years and narrowing. *Trust: high (primary data).*
8. [Redfin — Commissions Q2/Q3 2025](#) — Buyer-agent commission ticked *up* to 2.42%: the NAR settlement did not cut friction. *Trust: high (primary).*
9. [CNBC — Goldman's 3% 10-yr S&P forecast](#) — The bear anchor for "invest the difference." *Trust: high (reports a real forecast) — but see #10.*
10. [Yahoo Finance — Why Goldman backed away from the forecast](#) — The revision to ~7%; why any single point forecast is fragile. *Trust: medium-high.*
11. [Turner & Luea \(ScienceDirect\) — Homeownership & wealth accumulation](#) — Peer-reviewed causal forced-savings effect (~\$13,700/yr owned); rebuts the "it's all selection" claim. *Trust: high (peer-reviewed).*
12. [Advisor Perspectives — Case-Shiller, May 2026](#) — Prices +0.7% YoY, peaked Feb 2026, falling MoM. *Trust: high (indexes primary S&P/Cotality data).*
13. [Fortune — Sun Belt falling, Rust Belt rising \(Apr 2026\)](#) — The 2026 appreciation inversion strengthening the low-PTR buy case. *Trust: medium-high.*
14. [Scotsman Guide — Fannie Mae sees rates flat "for a very long time"](#) — Corrects the "rates rising / hike" narrative; no refinance rescue. *Trust: medium-high (reports Fannie forecast).*
15. [PWL Capital — Ben Felix's 5% rule](#) — The clean pro-rent heuristic (unrecoverable cost ≈ 5%/yr), which *understates* owning's cost at today's 6.5%. *Trust: medium-high (well-reasoned framework).*

Retrieval caveat: WebFetch failed throughout the research, so the live BH&J numeric score and a few primary PDFs couldn't be pulled directly; those points rest on secondary reporting and are flagged as such.